

Korea Chemicals

May NBL/SBR margins surge to five-year highs as naphtha/LPG shortage triggers rubber tightness

According to Korea Customs data, Korea NBL prices increased by 3.4% m/m to \$1,633/t in May, and the Apr-May average price of \$1,606/t is the highest in five years. This is attributable to: 1) naphtha supply shortage post the Middle East war – we forecast a >20% q/q decline in 2Q26 NBL volumes for Kumho, and 2) improved demand for Malaysian medical gloves due to US restocking. We estimate that NBL margins have expanded to \$916/t – exceeding SBR for the first time since 2022 and the highest since 2021. Key beneficiaries include **Kumho Petchem** and **LG Chem**, for which we forecast 2Q chems OP to increase q/q despite lower volumes. Our APAC top pick remains Nan Ya Plastics.

- **Rubber feedstock costs fall alongside oil:** Asia Butadiene prices have fallen by -27% in May, versus 4-year highs of \$1945/t in April. This mainly reflects a decline in oil prices, the restart of naphtha crackers following scheduled maintenance and lower ABS/SBR utilizations amid weaker demand/margins. The fall in butadiene contrasts with continued strength in NBL prices (+3% m/m) and SBR (-13% m/m), which, in our view, indicates continued supply tightness.
- **Malaysian glove makers struggling with feedstock shortage:** Malaysian glove makers import 64% of their NBL requirements, the majority of which is from Korea. As shown in Figure 3, Korea NBL exports averaged only 44kt in Apr-May, 33% lower vs the average monthly volume in 1Q26. According to Bloomberg, WRP Asia Pacific announced a winddown of its operations with effect from 15 April, citing a liquidity crunch caused by raw material shortages.
- **NBL price forecast:** As shown in Figure 1, we forecast a gradual decline in NBL prices to \$1281/t in 3Q26 and \$1083/t in 4Q26, reflecting 2H26 oil prices of around \$90/bbl. We expect robust NBL S-D through 2028, given negligible capacity addition globally. We forecast a Korea NBL price of \$940/t in 2027 and \$890/t in 2028, well above the 2023-25 average of \$786/t despite similar oil prices.

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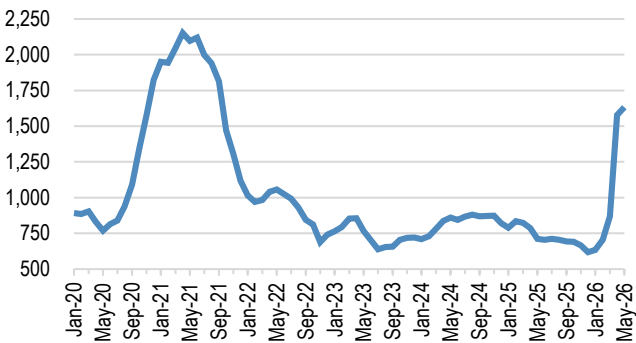
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Figure 1: JPM NBL price forecast (\$/t)

	1Q26	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	1Q28e	2Q28e	3Q28e	4Q28e
Korea NBL price (\$/t)	736	1,572	1,281	1,083	974	946	927	913	903	894	886	878

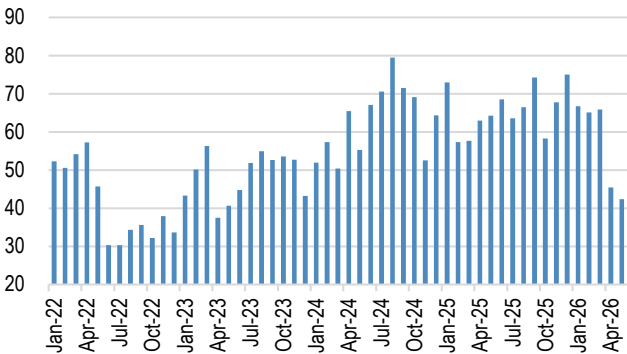
Source: Korea Customs, J.P. Morgan estimates.

Figure 2: Korea NBL price (\$/t)



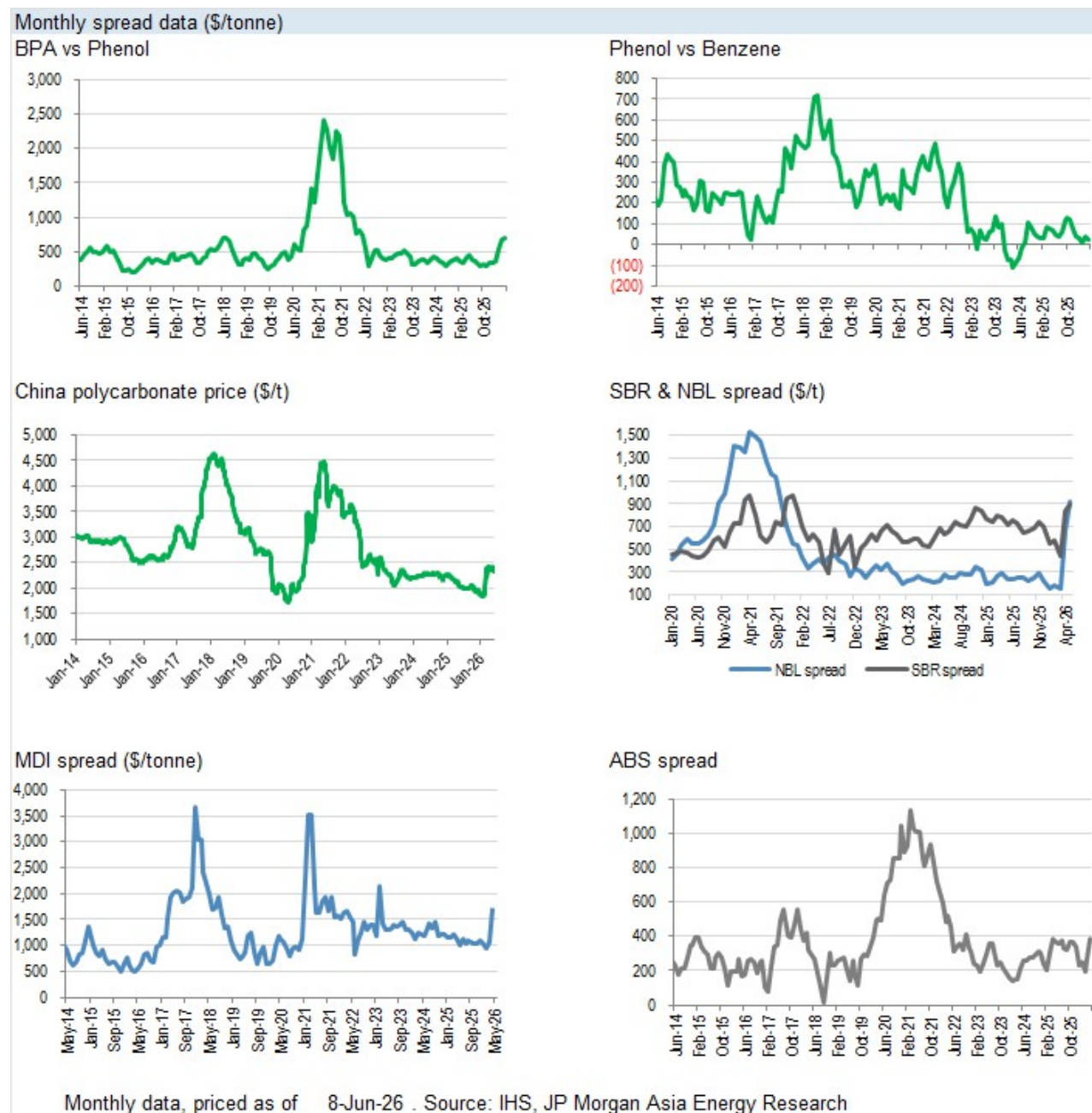
Source: Korea Customs, J.P. Morgan Asia Energy Research.

Figure 3: Korea NBL export volume (kt)



Source: Korea Customs, J.P. Morgan Asia Energy Research.

Figure 4: Key chemical spreads for Kumho Petchem



Source: Chemical Market Analytic, Korea Customs, Bloomberg Finance L.P., J.P. Morgan Asia Energy Research.

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Kumho Petrochemical(011780.KS/W118,600/OW), LG Chem Ltd(051910.KS/W319,500/OW), Nan Ya Plastics Corp(1303.TW/NT\$97.50/OW)

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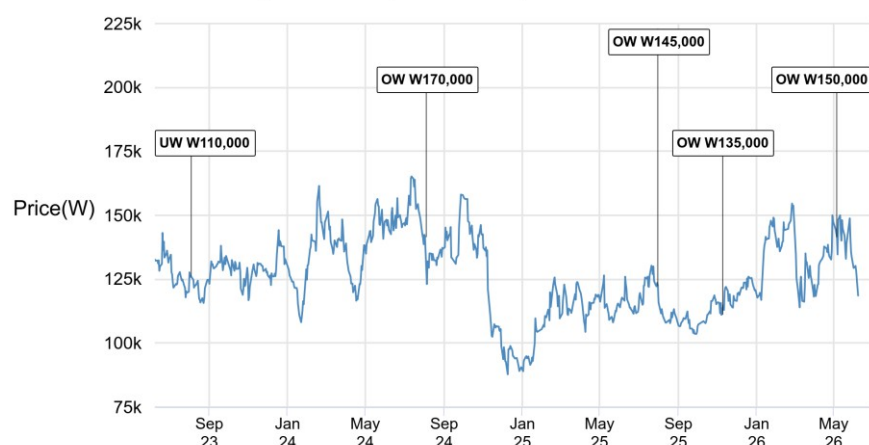
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Kumho Petrochemical (011780.KS, 011780 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
04-Aug-23	UW	126000	110,000
05-Aug-24	OW	141500	170,000
01-Aug-25	OW	122300	145,000
09-Nov-25	OW	111100	135,000
07-May-26	OW	141400	150,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 30, 2017. All share prices are as of market close on the previous business day.

LG Chem Ltd (051910.KS, 051910 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
31-Oct-23	OW	445000	560,000
25-Jan-24	OW	400500	520,000
23-Apr-24	OW	378000	460,000
01-May-24	OW	402500	470,000
26-Jul-24	OW	313000	410,000
08-Oct-24	OW	359000	450,000
09-Nov-24	OW	303000	380,000
04-Feb-25	OW	222000	325,000
01-May-25	OW	216000	280,000
01-Jul-25	OW	211500	290,000
09-Jul-25	OW	254500	305,000
27-Jul-25	OW	307000	360,000
27-Oct-25	OW	400000	480,000
30-Jan-26	OW	345500	400,000
01-May-26	OW	398000	460,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 08, 2002. All share prices are as of market close on the previous business day.

Nan Ya Plastics Corp (1303.TW, 1303 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
28-Jun-23	UW	77.10	65
10-Apr-24	UW	58.60	52.5
13-Jan-25	UW	28.30	24
21-Sep-25	OW	39.25	50
20-Nov-25	OW	53.80	70
14-Jan-26	OW	62.20	80
25-Feb-26	OW	90.80	120
12-Apr-26	OW	81.60	125

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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